

Is Risk-Free Really Risk-Free?

Malkiel's Bond Pricing Theorems

LEARNING OBJECTIVES

By the end of this lecture, students will be able to:

- **Prove price sensitivity.** Differentiate a fixed-income cash-flow model to establish the signs of its yield sensitivity and curvature.
- **Compute local risk measures.** Calculate modified duration and convexity from a bond's discounted cash flows and use them to approximate a price change.
- **Compare bond structures.** Predict how maturity and coupon placement affect the interest-rate exposure of otherwise comparable securities.

1 A Safe Payment Can Have a Risky Price

L2a treated promised Treasury payments as known, but a holder who sells before maturity receives a market price. That price changes whenever the return available on comparable new securities changes. A fixed promise and a fluctuating resale value are therefore entirely compatible.

The 2023 failure of Silicon Valley Bank provides the motivating systems lesson. The bank combined long-duration fixed-rate assets, concentrated uninsured funding, and inadequate interest-rate and liquidity risk management. Rising rates reduced the fair value of its securities; deposit withdrawals then forced the institution to confront losses that a hold-to-maturity story had obscured. Bond sensitivity is thus one component of a coupled balance-sheet and liquidity problem, not a complete explanation by itself.

Burton Malkiel's bond-pricing principles organize the central comparative statics: price moves opposite yield, the price-yield curve is convex, longer maturity generally increases sensitivity, and a larger coupon generally reduces percentage sensitivity. These statements require an option-free fixed cash-flow model and comparisons that hold the other contract terms fixed.

2 Price as a Function of Yield

To isolate interest-rate risk, freeze the promised cash flows and vary only the yield used to discount them. The resulting yield-based valuation is defined locally in [Defn. 2.1](#).

Definition 2.1. Yield-based bond price

Let the positive integer n denote the number of coupon intervals per year, let the positive integer N denote the number of remaining payment dates, and let $X_j > 0$ dollars be the fixed cash flow paid at coupon index $j \in \{1, \dots, N\}$. Let the nominal annual yield to maturity be r with $1 + r/n > 0$. Under a flat-yield convention, the time-0 dirty price $\mathcal{B}(r)$ —the value including any accrued interest—is given by Eq. 1:

$$\mathcal{B}(r) := \sum_{j=1}^N X_j \left(1 + \frac{r}{n}\right)^{-j}. \quad (1)$$

The yield r is the single internal discount rate applied to every promised payment; it is not a complete term structure of spot rates.

The common factor $q := 1 + r/n$ converts the notation in Eq. 1 into a sum of positive discounted claims. Differentiating that sum establishes both the direction and curvature of the price response (Thm. 2.1).

Theorem 2.1. Monotonicity and convexity of an option-free bond

Under the assumptions of Defn. 2.1, let $q := 1 + r/n > 0$. The first and second derivatives of the dirty price with respect to the nominal annual yield are given by Eq. 2:

$$\frac{d\mathcal{B}}{dr} = -\frac{1}{n} \sum_{j=1}^N jX_j q^{-j-1} < 0, \quad \frac{d^2\mathcal{B}}{dr^2} = \frac{1}{n^2} \sum_{j=1}^N j(j+1)X_j q^{-j-2} > 0. \quad (2)$$

Consequently, the bond price is strictly decreasing and strictly convex as a function of yield. The result assumes fixed positive cash flows and therefore does not automatically apply to securities whose cash flows change when rates change, such as callable bonds.

The signs in Eq. 2 explain the price-yield geometry: a higher yield lowers every discounted payment, while positive curvature makes the gain from a yield decrease larger than the loss from an equal yield increase, measured from the same starting yield (Fig. 1).

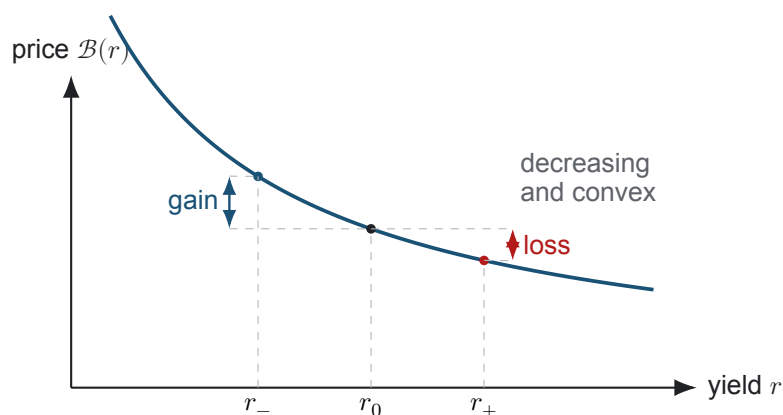


Figure 1: The price-yield curve for a fixed positive cash-flow stream. The comparison yields are $r_- := r_0 - \Delta r$ and $r_+ := r_0 + \Delta r$ for an equal change $\Delta r > 0$ from the initial yield r_0 . Convexity makes the vertical price gain from the rate decrease exceed the price loss from the equal rate increase.

The bill-sensitivity notebook tests the first part of Thm. 2.1 using zero-coupon Treasury auction data, where the single maturity payment makes the mechanism especially transparent.

COMPANION NOTEBOOK**L2b: Treasury Bill Price Sensitivity** →

Measure how a zero-coupon bill price changes with yield and remaining time using Treasury auction records.

3 Duration and Convexity

The derivative signs answer *which direction*; risk management also needs *how much*. Normalizing the derivatives by price produces two local measures with interpretable units (Defn. 3.1).

Definition 3.1. Modified duration and convexity

For the positive fixed cash flows, nominal annual yield r , coupon frequency n , and price $\mathcal{B}(r) > 0$ defined in Defn. 2.1, the modified duration $D_{\text{mod}}(r)$ and convexity $K(r)$ are defined by Eq. 3:

$$D_{\text{mod}}(r) := -\frac{1}{\mathcal{B}(r)} \frac{d\mathcal{B}}{dr}, \quad K(r) := \frac{1}{\mathcal{B}(r)} \frac{d^2\mathcal{B}}{dr^2}. \quad (3)$$

When the yield r is expressed as a decimal per year, modified duration has units of years and convexity has units of years squared. Both measures are positive under the assumptions of Thm. 2.1.

For a small yield shock Δr , a second-order Taylor approximation combines the two normalized sensitivities. The approximate fractional price change is given by Eq. 4:

$$\frac{\Delta\mathcal{B}}{\mathcal{B}} \approx -D_{\text{mod}}\Delta r + \frac{1}{2}K(\Delta r)^2. \quad (4)$$

The duration term supplies the local slope, while the convexity term corrects the straight-line approximation for curvature. This formula uses a decimal yield change: a 25-basis-point shock is $\Delta r = 0.0025$, where one basis point is 10^{-4} .

4 How Contract Structure Changes Sensitivity

Duration is a present-value-weighted measure of payment timing. Moving more value toward distant dates increases exposure to discount-rate changes; moving value toward earlier dates reduces it. That principle gives the carefully qualified maturity and coupon comparisons associated with Malkiel.

Maturity effect. For zero-coupon securities, all value arrives at maturity, so a longer remaining maturity unambiguously increases duration and yield sensitivity. For otherwise comparable option-free coupon bonds, sensitivity generally increases with maturity, but at a decreasing rate. This is a comparison of yield sensitivity—not a claim that adding another coupon period always lowers the bond's price.

Coupon effect. Holding yield, maturity, face value, and coupon frequency fixed, a higher coupon shifts a larger fraction of present value toward earlier dates. The resulting percentage price sensitivity is therefore lower.

Discrete-maturity caution. A coupon count N is an integer. Extending maturity adds a payment and changes the cash-flow vector, so differentiating a finite coupon sum with respect to a continuous maturity variable can be misleading. Compare two explicitly defined cash-flow streams or use duration with the cash flows held fixed.

The coupon-security notebook evaluates these comparative statics on Treasury note data and shows how coupon placement changes the response to a yield shock.

COMPANION NOTEBOOK**L2b: Treasury Note and Bond Price Sensitivity** →

Compare yield, coupon, and maturity sensitivities for coupon-bearing Treasury securities.

KEY TAKEAWAYS

In this lecture, we differentiated a fixed cash-flow bond price, established its decreasing convex price-yield shape, and converted those derivatives into duration and convexity risk measures.

- **Yield and price oppose.** For a fixed positive cash-flow stream, a higher yield lowers price because every promised payment is discounted more heavily.
- **Curvature creates asymmetry.** Positive convexity makes the gain from a yield decrease larger than the loss from an equal yield increase around the same starting yield.
- **Timing controls exposure.** Longer-dated value increases interest-rate sensitivity, while larger coupons move value earlier and generally reduce percentage sensitivity.

Next, use observed Treasury prices to infer yields across maturities and assemble the yield curve.

ADDITIONAL READING

- Burton G. Malkiel, “Expectations, Bond Prices, and the Term Structure of Interest Rates,” *Quarterly Journal of Economics* 76(2), 197–218 (1962).
- Federal Reserve Board, *Review of the Federal Reserve’s Supervision and Regulation of Silicon Valley Bank* (2023), for the interaction of interest-rate, liquidity, and governance risk.
- Frank J. Fabozzi and Francesco A. Fabozzi, *Bond Markets, Analysis, and Strategies*, 10th ed. (2021), for duration and convexity conventions.

Educational use and risk notice. These notes are for instruction only and do not constitute investment advice. Financial decisions involve risk, and model outputs depend on assumptions.